

Midterm

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```
#remove.packages("h2o")  
#install.packages("h2o")
```

Prerequisites

```
# Helper packages  
library(rsample) # for creating our train-test splits  
  
## Warning: package 'rsample' was built under R version 4.3.2  
library(recipes) # for minor feature engineering tasks
```

```
## Warning: package 'recipes' was built under R version 4.3.3  
## Loading required package: dplyr  
##  
## Attaching package: 'dplyr'  
## The following objects are masked from 'package:stats':  
##  
##   filter, lag  
## The following objects are masked from 'package:base':  
##  
##   intersect, setdiff, setequal, union  
##  
## Attaching package: 'recipes'  
## The following object is masked from 'package:stats':  
##  
##   step
```

```
library(dplyr) # for data manipulation  
library(ggplot2) # for data visualization  
library(tidyr) # for data reshaping  
  
# Modeling packages  
library(h2o) # for fitting stacked models
```

```
##  
## -----  
##  
## Your next step is to start H2O:  
##   > h2o.init()
```

```

##
## For H2O package documentation, ask for help:
##   > ??h2o
##
## After starting H2O, you can use the Web UI at http://localhost:54321
## For more information visit https://docs.h2o.ai
##
## -----
##
## Attaching package: 'h2o'
##
## The following objects are masked from 'package:stats':
##
##   cor, sd, var
##
## The following objects are masked from 'package:base':
##
##   &&, %*%, %in%, ||, apply, as.factor, as.numeric, colnames,
##   colnames<-, ifelse, is.character, is.factor, is.numeric, log,
##   log10, log1p, log2, round, signif, trunc
library(recipes)    # for ML recipes
library(xgboost)    # for fitting GBMs

## Warning: package 'xgboost' was built under R version 4.3.3
##
## Attaching package: 'xgboost'
##
## The following object is masked from 'package:dplyr':
##
##   slice
h2o.no_progress()  # turn off progress bars
h2o.init(max_mem_size = "5g") # connect to H2O instance

## Connection successful!
##
## R is connected to the H2O cluster:
##   H2O cluster uptime:      5 hours 19 minutes
##   H2O cluster timezone:    America/Los_Angeles
##   H2O data parsing timezone: UTC
##   H2O cluster version:     3.44.0.3
##   H2O cluster version age:  1 year, 4 months and 11 days
##   H2O cluster name:        H2O_started_from_R_tifle_nit536
##   H2O cluster total nodes: 1
##   H2O cluster total memory: 2.11 GB
##   H2O cluster total cores: 8
##   H2O cluster allowed cores: 8
##   H2O cluster healthy:     TRUE
##   H2O Connection ip:       localhost
##   H2O Connection port:     54321
##   H2O Connection proxy:    NA
##   H2O Internal Security:    FALSE
##   R Version:                R version 4.3.1 (2023-06-16)
##
## Warning in h2o.clusterInfo():

```

```
## Your H2O cluster version is (1 year, 4 months and 11 days) old. There may be a newer version available.  
## Please download and install the latest version from: https://h2o-release.s3.amazonaws.com/h2o/latest.
```

Ames Housing Dataset

```
# Load and split the Ames housing data  
ames <- AmesHousing::make_ames()  
set.seed(123) # for reproducibility  
split <- initial_split(ames, strata = "Sale_Price")  
ames_train <- training(split)  
ames_test <- testing(split)  
  
# Make sure we have consistent categorical levels  
blueprint <- recipe(Sale_Price ~ ., data = ames_train) %>%  
  step_other(all_nominal(), threshold = 0.005)  
  
# Create training & test sets for h2o  
train_h2o <- prep(blueprint, training = ames_train, retain = TRUE) %>%  
  juice() %>%  
  as.h2o()  
test_h2o <- prep(blueprint, training = ames_train) %>%  
  bake(new_data = ames_test) %>%  
  as.h2o()  
  
# Get response and feature names  
Y <- "Sale_Price"  
X <- setdiff(names(ames_train), Y)
```

Base Learner - Models

Regularized Regression Base Learner

Random Forest Base Learner

```
# Train & cross-validate a RF model  
best_rf <- h2o.randomForest(  
  x = X, y = Y, training_frame = train_h2o, ntrees = 100, mtries = -1,  
  max_depth = 15, min_rows = 1, sample_rate = 0.8, nfolds = 2,  
  fold_assignment = "Modulo", keep_cross_validation_predictions = TRUE,  
  seed = 123, stopping_rounds = 50, stopping_metric = "RMSE",  
  stopping_tolerance = 0  
)
```

```
## Warning in .h2o.processResponseWarnings(res): early stopping is enabled but neither score_tree_inter
```

Gradient Boosting Base Learner

```
# Train & cross-validate a GBM model  
best_gbm <- h2o.gbm(  
  x = X, y = Y, training_frame = train_h2o, ntrees = 500, learn_rate = 0.01,  
  max_depth = 7, min_rows = 5, sample_rate = 0.8, nfolds = 2,  
  fold_assignment = "Modulo", keep_cross_validation_predictions = TRUE,  
  seed = 123, stopping_rounds = 50, stopping_metric = "RMSE",  
  stopping_tolerance = 0  
)
```

```
)
```

```
## Warning in .h2o.processResponseWarnings(res): early stopping is enabled but neither score_tree_inter
```

XGBoost Base Learner

```
# Train & cross-validate an XGBoost model
best_xgb <- h2o.xgboost(
  x = X, y = Y, training_frame = train_h2o, ntrees = 5000, learn_rate = 0.05,
  max_depth = 3, min_rows = 3, sample_rate = 0.8, categorical_encoding = "LabelEncoder",
  nfolds = 2, fold_assignment = "Modulo",
  keep_cross_validation_predictions = TRUE, seed = 123, stopping_rounds = 50,
  stopping_metric = "RMSE", stopping_tolerance = 0
)
```

```
## Warning in .h2o.processResponseWarnings(res): early stopping is enabled but neither score_tree_inter
```

Neural Network Stack Model (Super Learner)

Results

```
# Get results from base learners
get_rmse <- function(model) {
  results <- h2o.performance(model, newdata = test_h2o)
  results@metrics$RMSE
}
list(best_glm, best_rf, best_gbm, best_xgb) %>%
  purrr::map_dbl(get_rmse)
```

```
## [1] 30018.69 22970.61 21127.53 19968.97
```

```
# Stacked results
h2o.performance(ensemble_nn, newdata = test_h2o)@metrics$RMSE
```

```
## [1] 20600.09
```

```
data.frame(
  GLM_pred = as.vector(h2o.getFrame(best_glm@model$cross_validation_holdout_predictions_frame_id$name)),
  RF_pred = as.vector(h2o.getFrame(best_rf@model$cross_validation_holdout_predictions_frame_id$name)),
  GBM_pred = as.vector(h2o.getFrame(best_gbm@model$cross_validation_holdout_predictions_frame_id$name)),
  XGB_pred = as.vector(h2o.getFrame(best_xgb@model$cross_validation_holdout_predictions_frame_id$name))
) %>% cor()
```

```
##           GLM_pred  RF_pred  GBM_pred  XGB_pred
## GLM_pred 1.0000000 0.9179932 0.9147457 0.9151065
## RF_pred  0.9179932 1.0000000 0.9918391 0.9793478
## GBM_pred 0.9147457 0.9918391 1.0000000 0.9783649
## XGB_pred 0.9151065 0.9793478 0.9783649 1.0000000
```

Visualization / Comparison of Models

```
# Create a data frame with all model results
model_comparison <- data.frame(
  Model = c("GLM", "Random Forest", "GBM", "XGBoost", "Neural Network Ensemble"),
  RMSE = c(
```

```

    get_rmse(best_glm),
    get_rmse(best_rf),
    get_rmse(best_gbm),
    get_rmse(best_xgb),
    h2o.performance(ensemble_nn, newdata = test_h2o)@metrics$RMSE
  )
)

# Sort models by performance (lowest RMSE first)
model_comparison <- model_comparison[order(model_comparison$RMSE), ]

# Show Model Comparison
model_comparison

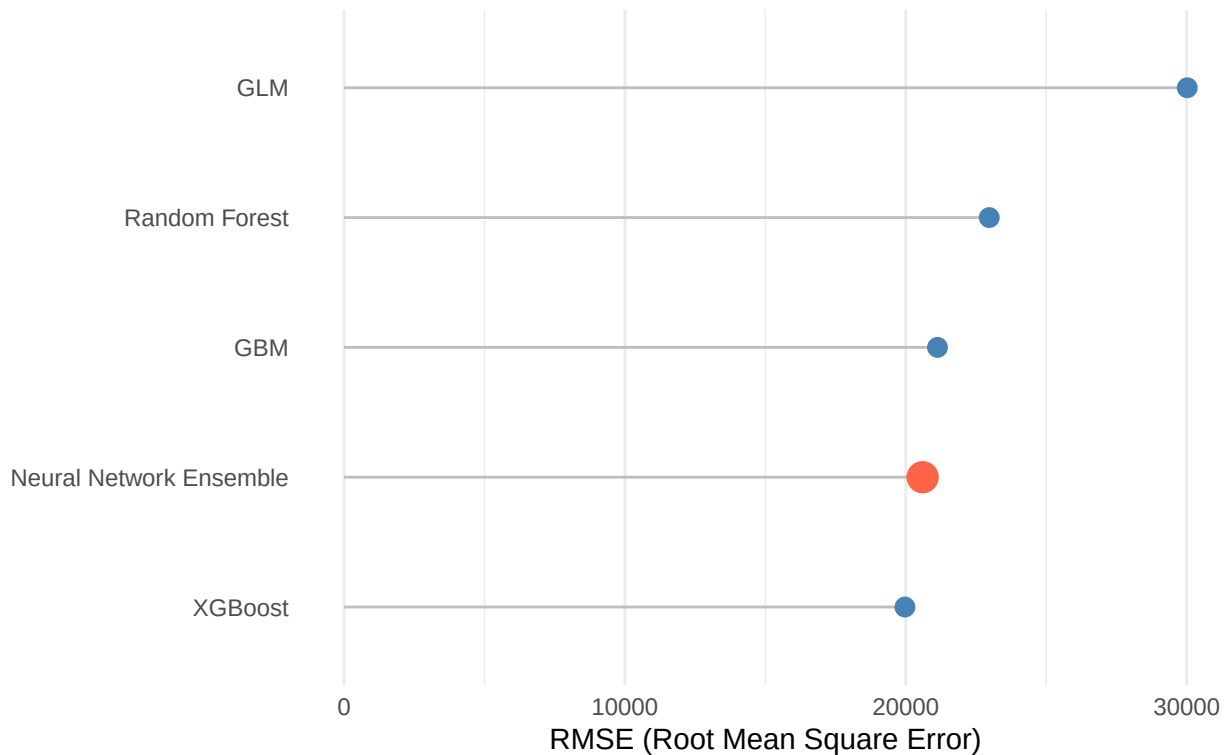
##           Model      RMSE
## 4           XGBoost 19968.97
## 5 Neural Network Ensemble 20600.09
## 3              GBM 21127.53
## 2      Random Forest 22970.61
## 1              GLM 30018.69

# Compare Ensemble to Others
ggplot(model_comparison, aes(x = reorder(Model, RMSE))) +
  geom_segment(aes(xend = Model, y = 0, yend = RMSE), color = "gray") +
  geom_point(aes(y = RMSE, color = Model == "Neural Network Ensemble",
                 size = Model == "Neural Network Ensemble")) +
  scale_color_manual(values = c("steelblue", "tomato"), guide = "none") +
  scale_size_manual(values = c(3, 5), guide = "none") +
  coord_flip() +
  theme_minimal() +
  labs(title = "Model Performance Comparison",
       subtitle = "Neural Network Ensemble vs Base Models (lower RMSE is better)",
       y = "RMSE (Root Mean Square Error)",
       x = NULL) +
  theme(panel.grid.major.y = element_blank())

```

Model Performance Comparison

Neural Network Ensemble vs Base Models (lower RMSE is better)

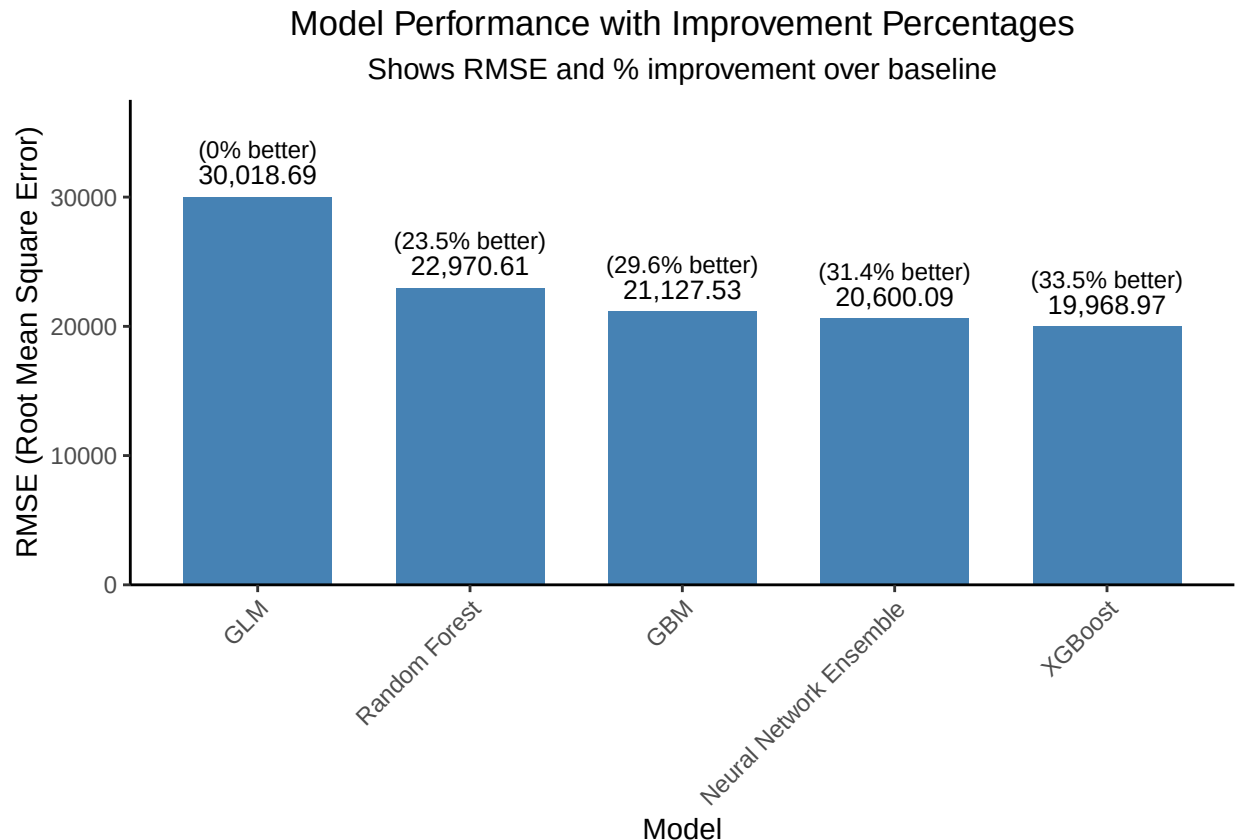


```
# Calculate percentage improvement over worst model
baseline_rmse <- max(model_comparison$RMSE)
model_comparison$Improvement <- (baseline_rmse - model_comparison$RMSE) / baseline_rmse * 100

# Add percentage improvement labels to the comparison
clean_chart <- ggplot(model_comparison, aes(x = reorder(Model, -RMSE), y = RMSE)) +
  geom_bar(stat = "identity", width = 0.7,
    fill = ifelse(model_comparison$Model == "NN_Ensemble", "tomato", "steelblue")) +
  # Position labels ABOVE the bars with proper spacing
  geom_text(aes(label = format(round(RMSE, 2), big.mark=","),
    y = RMSE + 1000), # Position above bars with 1000 units of space
    vjust = 0,
    size = 3.5) +
  # Add smaller improvement text below first text
  geom_text(aes(label = paste0("(", round(Improvement, 1), "% better)"),
    y = RMSE + 1000),
    vjust = -1.5,
    size = 3) +
  theme_classic() +
  theme(axis.text.x = element_text(angle = 45, hjust = 1),
    plot.title = element_text(hjust = 0.5),
    plot.subtitle = element_text(hjust = 0.5)) +
  labs(title = "Model Performance with Improvement Percentages",
    subtitle = "Shows RMSE and % improvement over baseline",
    x = "Model",
    y = "RMSE (Root Mean Square Error)") +
```

```
scale_y_continuous(limits = c(0, max(model_comparison$RMSE) * 1.25), # Add 25% space at top
  expand = c(0, 0)) # Remove default expansion

print(clean_chart)
```



```
# Function to get RMSE from H2O models
get_rmse <- function(model) {
  results <- h2o.performance(model, newdata = test_h2o)
  results@metrics$RMSE
}

# Get RMSE for all models
rmse_values <- c(
  GLM = get_rmse(best_glm),
  RF = get_rmse(best_rf),
  GBM = get_rmse(best_gbm),
  XGBoost = get_rmse(best_xgb),
  NN_Ensemble = h2o.performance(ensemble_nn, newdata = test_h2o)@metrics$RMSE
)

# Create a data frame with all model results
model_comparison <- data.frame(
  Model = names(rmse_values),
  RMSE = unname(rmse_values)
)
```

Comparison Table

```
# Sort models by performance (lowest RMSE first)
model_comparison <- model_comparison[order(model_comparison$RMSE), ]

# Calculate percentage improvement over worst model (highest RMSE)
baseline_rmse <- max(model_comparison$RMSE)
model_comparison$Improvement <- round((baseline_rmse - model_comparison$RMSE) / baseline_rmse * 100, 2)

# Calculate percentage improvement over best base model
best_base_rmse <- min(model_comparison$RMSE[model_comparison$Model != "NN_Ensemble"])
model_comparison$Improvement_Over_Best_Base <- NA
model_comparison$Improvement_Over_Best_Base[model_comparison$Model == "NN_Ensemble"] <-
  round((best_base_rmse - model_comparison$RMSE[model_comparison$Model == "NN_Ensemble"]) / best_base_rmse * 100, 2)

# Create a nicely formatted performance comparison table
print("Model Performance Comparison (lower RMSE is better)")
```

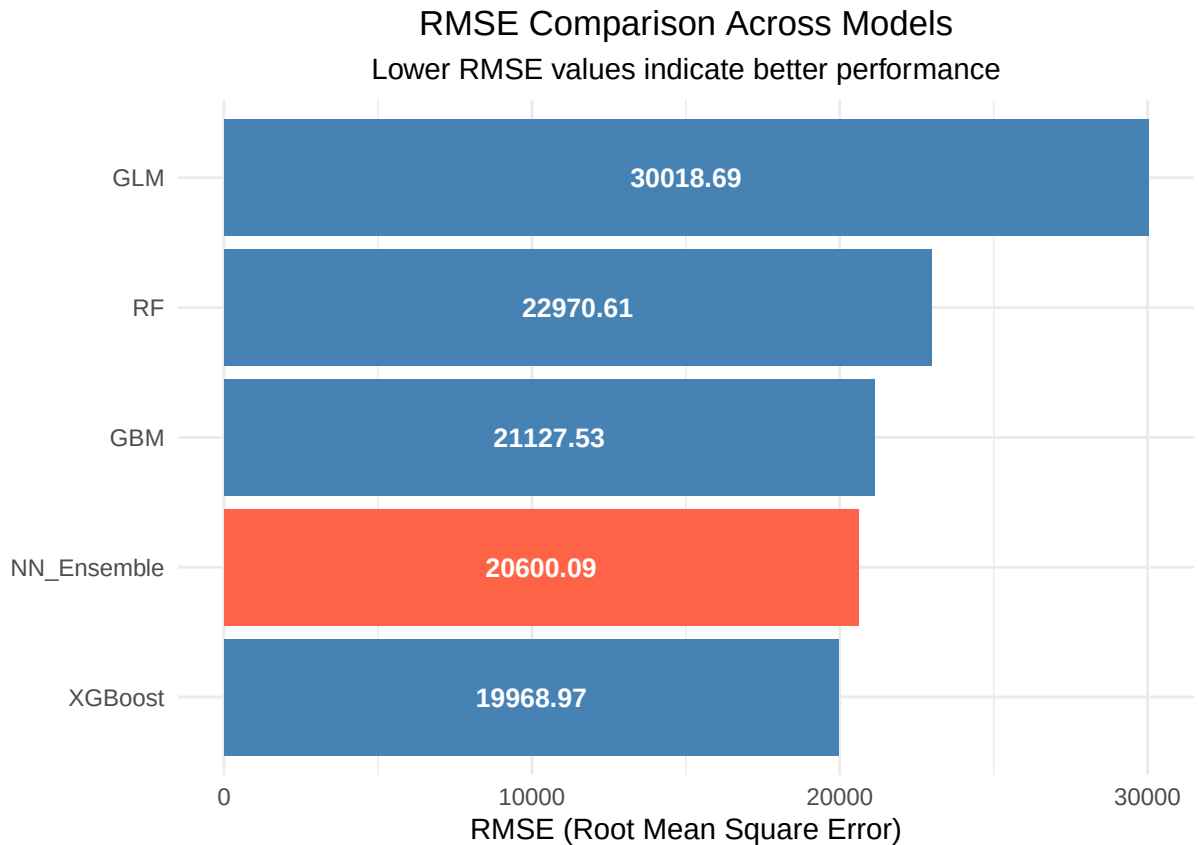
```
## [1] "Model Performance Comparison (lower RMSE is better)"
print(model_comparison)
```

##	Model	RMSE	Improvement	Improvement_Over_Best_Base
## 4	XGBoost	19968.97	33.48	NA
## 5	NN_Ensemble	20600.09	31.38	-3.16
## 3	GBM	21127.53	29.62	NA
## 2	RF	22970.61	23.48	NA
## 1	GLM	30018.69	0.00	NA

Comparison via Bar Chart (Red for Stacked NN)

```
# Basic bar chart of RMSE values
bar_chart <- ggplot(model_comparison, aes(x = reorder(Model, RMSE), y = RMSE)) +
  geom_bar(stat = "identity",
    aes(fill = Model == "NN_Ensemble"),
    show.legend = FALSE) +
  scale_fill_manual(values = c("steelblue", "tomato")) +
  geom_text(aes(label = round(RMSE, 2)),
    position = position_stack(vjust = 0.5), # Position text in middle of bars
    color = "white", # White text for better contrast
    fontface = "bold", size = 3.5) + # Bold text
  coord_flip() + # Flip for horizontal bars
  theme_minimal() +
  labs(title = "RMSE Comparison Across Models",
    subtitle = "Lower RMSE values indicate better performance",
    x = "",
    y = "RMSE (Root Mean Square Error)") +
  theme(plot.title = element_text(hjust = 0.5),
    plot.subtitle = element_text(hjust = 0.5))

bar_chart
```

Summary Statistics

```
# Identify best model
best_model <- model_comparison$Model[1]
best_rmse <- model_comparison$RMSE[1]

# Find the best base model (not ensemble)
best_base_model <- model_comparison$Model[model_comparison$Model != "NN_Ensemble"][1]
best_base_rmse <- model_comparison$RMSE[model_comparison$Model == best_base_model]

# Calculate improvement of ensemble over best base model
if (best_model == "NN_Ensemble") {
  ensemble_improvement <- ((best_base_rmse - best_rmse) / best_base_rmse) * 100
  ensemble_status <- paste("The Neural Network Ensemble improved upon the best base model by",
    round(ensemble_improvement, 2), "%")
} else {
  ensemble_status <- "The Neural Network Ensemble did not outperform the best base model"
}

# Print summary
cat("\n===== SUMMARY =====\n")

##
## ===== SUMMARY =====

cat("Best overall model:", best_model, "with RMSE =", round(best_rmse, 3), "\n")

## Best overall model: XGBoost with RMSE = 19968.97
```

```

cat("Best base model:", best_base_model, "with RMSE =", round(best_base_rmse, 3), "\n")

## Best base model: XGBoost with RMSE = 19968.97
cat(ensemble_status, "\n")

## The Neural Network Ensemble did not outperform the best base model
cat("=====\n")

## =====

```